IN THE HIGH COURT FOR THE STATE OF TELANGANA AT HYDERABAD

FRIDAY, THE SIXTH DAY OF MARCH
TWO THOUSAND AND TWENTY SIX

PRESENT

THE HON'BLE JUSTICE B.R.MADHUSUDHAN RAO

APPEAL SUIT NO: 276 OF 2021

Appeal under Section 96 R/w order 41 Rule 1 of CPC against the Judgment and decree dated 24-09-2021 passed in O.S.No.1038 of 2014 on the file of the Court of the XIV Additional District Judge, at Ranga Reddy District at L.B Nagar.

Between:

1. Mr. Pesearkayala Veera Basanth Reddy, S/o. Venkat Reddy, Age: 61 years, Occ: Agriculture
2. Mr. P.Ganesh Reddy, S/o. P.Veera Basanth Reddy, Age: 41 years, Occ: Agriculture
3. Mr. P.Pandu Ranga Reddy, S/o. P. Veera Basanth Reddy, Age: 38 years, Occ: Agriculture.

All are R/o. Mondi Gowrelly Village, Yacharam mandal, Ranga Reddy District

...Appellants/Defendants

AND

Mr. Burugu Rama Krishna Reddy, S/o. Late Dhanam Reddy, Age: 47 years, Occ: Agriculture, R/o. Ibrahimpatnam mandal, Ranga Reddy District.

...Respondent/Plaintiff

I.A. NO: 1 OF 2021

Petition under Section 151 CPC praying that in the circumstances stated in the affidavit filed in support of the petition, the High Court may be pleased to stay the operation of the Judgment and Decree dated 24.09.2021 passed in O.S.No.1038 of 2014, on the file of the XIV Additional District Judge, Ranga Reddy District at L.B.Nagar, pending disposal of the main first appeal.

I.A. NO: 2 OF 2021

Petition under order XXXVIII Rule 9 R/w Section 151 CPC praying that in the circumstances stated in the affidavit filed in support of the petition, the High Court may be pleased to raise/remove the attachment order dated 26-10-2015 in I.A.No. 38 of 2014 over the petition schedule property.

PETITION SCHEDULE PROPERTY

All that part and parcel of the Agricultural land bearing Sy.No.85/A & 89/A admeasuring Ac.9-30Gts situated at Mondigowrelly village, Yacharam Mandal, Ranga Reddy District and same is bounded by:

NORTH: Land belongs to Kolan Meghanath Reddy
SOUTH: Land belongs to Kolan Bal Reddy
EAST : Land belongs to Gaddam Venkataiah & Road
WEST : Land belongs to Mandala Narsimha

Counsel for the Appellants: M/s. Chandrasen Law Offices

Counsel for the Respondent: Sri J. Ashvini Kumar

The Court delivered the following: JUDGMENT

IN THE HIGH COURT FOR THE STATE OF TELANGANA

AT HYDERABAD

THE HON'BLE JUSTICE B.R.MADHUSUDHAN RAO

APPEAL SUIT NO.276 OF 2021

DATED: 6th MARCH, 2026

BETWEEN :

1. Mr.Pesearkayala Veera Basanth Reddy and Others

... Appellants-Defendants

AND

Mr.Burugu Rama Krishna Reddy,
S/o.Late Dhanam Reddy, aged 47 years,
Occ: Agriculture, R/o.Ibrahimpatnam Mandal,
Ranga Reddy District.

...Respondent/Plaintiff

JUDGMENT:

1. This Memorandum of First Appeal is filed under Section 96 r/w Order 41 Rule 1 of Civil Procedure Code, 1908 (for short 'CPC') assailing the judgment and decree passed by the learned XIV Additional District Judge, Ranga Reddy District at L.B.Nagar in OS No.1038 of 2014 dated 24.09.2021.

2. Appellants are the defendants and respondent is the plaintiff in OS.No.1038 of 2014.

3.1. Respondent-plaintiff has filed suit under Order 7 Rule 1 r/w Section 26 of CPC for recovery of money of Rs.14,60,000/- against the appellants-defendants.

3.2. The plaint states that the parties are known to each other for more than 15 years. Appellant No.1-defendant No.1 is the father, appellant Nos.2 and 3-defendant Nos.2 and 3 are the sons of appellant No.1. Defendant No.1 (appellant No.1 herein) informed the plaintiff (respondent herein) that he is the owner and possessor of Acs.09-30 guntas of agricultural land in Sy.Nos.85/A and 89/A situated at Mondigowrelly Village, Yacharam Mandal, Ranga Reddy District and executed an Agreement of Sale dated 01.10.2012 for a total sale consideration of Rs.63 Lakhs. The plaintiff paid an amount of Rs.10 Lakhs as advance and a separate receipt is executed to that effect. Thereafter, the plaintiff (the respondent herein) came to know that the property covered under Agreement of Sale dated 01.10.2012 is under litigation in OS.No.36 of 1989 on the file of Additional District Judge. So also in AS No.1110 of 1991 pending before the High Court of Andhra Pradesh, the same was suppressed by the defendant No.1 (appellant No.1 herein). When the plaintiff (respondent herein) questioned the defendant No.1 (appellant No.1) about the litigation, in turn he stated that the suits are no way concerned with the suit land and insisted the respondent-plaintiff to get the sale deed registered by paying the

balance sale consideration. Mediation was held between the parties before the elders wherein the appellants-defendants executed Settlement Deed on 12.03.2013 agreeing to return the advance amount of Rs.10 Lakhs through a mediator by name Kotha Manohar Reddy within a period of six months i.e., on or before 12.09.2013. Later, the appellant No.1-defendant No.1 with a malafide intention to cheat the respondent-plaintiff got issued legal notice on 29.07.2013 cancelling the Agreement of Sale dated 01.10.2012 as well as the Settlement Deed dated 12.03.2013 to avoid the refund of advance.

3.3. Appellant No.1-defendant No.1 again entered into an Agreement of Sale dated 06.04.2013 with G.Mohan Reddy of Injapur Village for a total sale consideration of Rs.57,50,000/- in respect of the property covered by the Agreement of Sale and he received Rs.2,50,000/- as advance. A publication was made to that effect in Eenadu Telugu Daily calling for objections for which one Gurram Bhasker Reddy got issued a reply notice raising objections through his counsel. Reply notice goes to show that the litigations are pending in Courts in respect of the lands and the appellant No.1-defendant No.1 has again cheated and harassed not only the respondent-plaintiff but also Kotha Manohar Reddy and Gurram Mohan Reddy. Respondent-plaintiff has lodged a complaint before Yacharam police against the appellants-defendants but they did

not act upon and advised him to approach the Court. Respondent-plaintiff has also filed a private complaint before IV Metropolitan Magistrate, Ibrahimpatnam, the same was taken cognizance for the offences under Sections 120B, 420 r/w 34 of IPC against the appellants-defendants and a case in Crime No.187 of 2013 is registered on 26.10.2013 and appellant No.1-defendant No.1 was arrested and later he was released on bail, prayed to decree the suit as prayed for.

4. Appellant No.1-defendant No.1 has filed his written statement and admitted that he entered into Agreement of Sale on 01.10.2012 and received Rs.10 Lakhs as advance there under, the property has a clear marketable title and there are no disputes pending in any Court. Appellant No.1-defendant No.1 is the pattedar and possessor of the land and it is not the property of the Trust. Respondent-plaintiff failed to pay the balance sale consideration and he made false allegations in the plaint. Appellant No.1-defendant No.1 has admitted that mediation has taken place on 12.03.2013 for refund of advance amount to the mediator namely Kotha Manohar Reddy and executed a letter on a non-judicial stamp paper. As per the settlement, the respondent-plaintiff has no cause of action. Appellant No.1-defendant No.1 has got issued a notice on 29.07.2013 for cancelling the Agreement of Sale dated 01.10.2012 as the respondent-plaintiff did not comply

the conditions thereon and the advance amount of Rs.10 Lakhs is forfeited. Respondent-plaintiff did not choose to give reply to the said notice. However, he got issued a legal notice on 10.11.2012 with false and frivolous allegations showing his readiness and willingness to perform his part of contract. Respondent-plaintiff remained silent till 12.03.2013 even after receiving the reply from appellant No.1-defendant No.1. He admitted that he entered into Agreement of Sale on 06.04.2013 with G.Mohan Reddy for a sale consideration of Rs.57,50,000/- in respect of the property covered by the Agreement of Sale dated 01.10.2012 and received an amount of Rs.2,50,000/- as advance and it was only agreed between the parties that G.Mohan Reddy will pay the remaining sale consideration to the appellant No.1-defendant No.1 within 40 days. G.Mohan Reddy failed to comply with the agreement thereby he got issued a notice on 29.07.2013 cancelling the Agreement of Sale dated 06.04.2013. Prior to issuing the notice by the appellant No.1-defendant No.1 G.Mohan Reddy got issued a lawyer notice on 29.04.2013 which was received by him on 07.05.2013 and he got issued a reply on 09.05.2013 demanding G.Mohan Reddy to pay the balance sale consideration and to come forward to get the sale deed. Respondent-plaintiff has influenced police Yacharam and got arrested the appellant No.1-defendant No.1 though the case is of civil in nature. Suit is bad for misjoinder and non-joinder of

necessary parties. Kotha Manohar Reddy, the mediator through whom the respondent-plaintiff alleged that appellant No.1-defendant No.1 has agreed to refund the advance amount, he is a necessary party to the suit. Appellant Nos.2 and 3-defendant Nos.2 and 3 are nothing to do with the suit and they are unnecessarily sued by the respondent-plaintiff.

5. Appellant Nos.2 and 3-defendant Nos.2 and 3 have filed their separate written statement alleging that they have not executed the Agreement of Sale dated 01.10.2012 nor their names are reflected and they are not necessary parties to the suit and prayed to dismiss the same.

6. The learned trial Court framed the following issues:

1. Whether the plaintiff is entitled for recovery of money of Rs.14,60,000/- with costs and future interest against defendant Nos.1 to 3 (appellants herein) as prayed for?
2. To what relief?

7. Respondent-plaintiff is examined as PW.1 and also examined PW.2-Annu Ram Reddy, got marked Exs.A1 to A15. Appellant Nos.1 to 3 are examined as DWs.1 to 3 and got marked Exs.B1 to B8.

8. The learned trial Court after analysing the evidence adduced by the parties has decreed the suit directing the defendants

(appellants herein) to pay a sum of Rs.10 Lakhs with interest thereon @ 12% per annum from 12.03.2013 with future interest on the principal sum so adjudged @ 12% per annum till the date of its realization against the defendants jointly and severally.

9.1. Learned Senior Counsel for the appellants submits that the learned trial Court failed to appreciate the evidence in proper perspective and Ex.A3 primarily states that the advance amount of the Agreement of Sale dated 01.10.2012 is to be returned to Sri Kotha Manohar Reddy and Ex.A3 itself amounts to novation of contract, the respondent-plaintiff ceased to have any claim against the appellants-defendants. The learned trial Court failed to appreciate the fact that the respondent-plaintiff in his deposition admitted that the Settlement Deed dated 12.03.2013 was executed in the name of Kotha Manohar Reddy and the appellant No.1-defendant No.1 will pay the advance amount to him.

9.2. The learned trial court failed to appreciate the fact that PW.2 has also admitted about execution of Ex.A3. The learned trial Court ought to have contemplated that the appellant Nos.2 and 3-defendant Nos.2 and 3 are not parties to the Agreement of Sale dated 01.10.2012 and the same is admitted by PWs.1 and 2 in their respective depositions and they are also not necessary parties to the suit and the same is liable to be dismissed for non-joinder of

the parties. The learned trial Court ought to have seen that at the time of entering into the Agreement of Sale, there was no litigation pending over the suit property as alleged by the respondent-plaintiff and the ownership of the appellant No.1-defendant No.1 is not repudiated in any Court of law. Counsel to substantiate his contentions has relied on the decisions in the cases of (1) Moreshar Yadaorao Mahajan Vs. Vyankatesh Sitaram Bhedi (D) thr. LRs. and Others [1], (2) Madan Lal Sobti Vs. Rajasthan State Industrial Development and Investment Corporation Ltd., [2] (3) Associated Swichgear & Projects Ltd., Vs. Hind Electrician[3], (4) Bajranglal Agarwal Vs. Smt.Susheela Agarwal and Others[4].

10. Learned counsel for the respondent-plaintiff contended that the learned trial Court has properly appreciated the facts of the case and rightly decreed the suit jointly and severally against the appellants-defendants to pay Rs.10 Lakhs with interest @ 12% per annum from the date of filing the suit till realization, no case is made out and prayed to dismiss the Appeal.

11. Heard learned Senior Counsel for the appellants, counsel for the respondent, perused the material on record.

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[1] 2022 SCC OnLine SC 1307
[2] 2006 SCC OnLine Del 1352
[3] 2018 SCC OnLine Del 12177
[4] CCCA No.62 of 2024 of the High Court for the State of Telangana, Hyderabad, dated 20.08.2024

12. Counsel on record have filed their written submissions.

13. Now the points for consideration are :

(i) Whether the suit is bad for mis-joinder and non-joinder of necessary parties, if so?

(ii) Whether the judgment and decree passed by the learned trial Court suffers from any perversity or illegality? If so, does it require the interference of this court?

14. Learned Senior Counsel for the appellants has raised the following points in the written arguments. (A) Incorrect finding of facts with respect to pendency of litigation (B) Incorrect finding of facts which were not pleaded by the plaintiff and on which no evidence was lead with respect to existence of loan on the suit schedule property (C) Impermissibility on directing the defendants to pay the amounts to the plaintiff by virtue of Section 62 of the Indian Contract Act, 1872 (D) The suit is liable to be dismissed on account of Non-joinder of proper and necessary parties (E) Lack of any liability on defendant Nos.2 and 3 (appellant Nos.2 and 3 herein) to pay the amount (F) Acquittal in a Criminal Case (G) On Interest part.

POINT NOs.1 and 2:

15.1. Ex.A1 is a certified copy of unregistered Agreement of Sale dated 01.10.2012. The important Clauses of the Agreement are set out as under:

"NOW THIS AGREEMENT OF SALE WITNESSETH AS FOLLOWS:-

The Vendor has agreed to sell and the purchaser has agreed to purchase the Land in Sy.No.85/ , admeasuring Ac.9-08 Gts, Sy.No.89/ , admeasuring Ac.0-22 Gts, totally admeasuring Ac.9-30 Gts (on as is and where is condition) situated at Mondigowrelly Village, Yacharam Mandal, Ranga Reddy District, which is schedule property described in the schedule hereto, for a total sale consideration of Rs.63,00,000/- (Rupees Sixty Three Lakhs Only).

1. The Purchaser has today paid a sum of Rs. 10,00,000/- (Rupees Ten Lakhs Only) by cash, to the Vendor towards part sale consideration for sale of the above said property and the Vendor does hereby admit and acknowledge the receipt of the same.

2. And the balance sale consideration of Rs.53,00,000/- (Rupees Fifty Three Lakhs Only) shall be paid by the purchaser to the vendor subject to actual measurement of land available at site, within a period of 40 (Forty) days from this day or at the time of registration.

3. The Vendor shall have to deliver the vacant possession of the said property to the Purchaser at the time of registration. At the time of execution of sale deed, the Vendor shall clear all the dues such as taxes viz., Property Tax if any.

4. The Vendor assures the Purchaser that there are no encumbrances, charges, mortgages on schedule property and the schedule property is not subject to earlier subsisting agreement of sale or sale etc.,

9. The Vendor do hereby declare and state that the schedule property is not subject to any charge or charges, surety, security, lien and is subject to hypothecation to financial institution or institutions including banks, corporations, society, local authorities, government including legal person or persons. The vendor further declare that the schedule property sold under this deed is not declared as excess land under provisions of agriculture land ceiling laws being in force from time to time. The Vendor further states the schedule property is or part of it is not surplus land being declared under the provisions of Urban Land Ceiling Laws".

15.2. Ex.A3 is the Settlement Deed dated 12.03.2013 executed between the parties, the recitals of the document are important for adjudicating the Appeal which reads as under:

" ఈ రోజు అనగా సరియగు తేదీ 12.03.2013 మంగళవారము రోజున పెసరకాయల వీర బసంత రెడ్డి S/o.Late వెంకట్ రెడ్డి నివాసము మొండి గౌరెల్లి వాస్తవ్యులు మరియు అతని కుమారులు గణేశ్ రెడ్డి S/o. వీర బసంత రెడ్డి మరియు పాండురంగారెడ్డి S/o. వీర బసంత రెడ్డి అను మేము వ్రాయించి ఇచ్చు దస్తావేజు సబబు ఏమనగా మొండి గౌరెల్లి లో గల నా స్వంత వ్యవసాయ భూమి Sy.No.85, 89 లో గల భూమిని 9.30 తొమ్మిది ఎకరముల ముప్పై గుంటలు శ్రీ బూర్గు రామకృష్ణా రెడ్డి తండ్రి లేట్ దాన్ రెడ్డి నివాసము ఆదిచే గారికి 63,00,000=00 అరవై మూడు లక్షలకు అమ్మి యుంటిని. 1.1.2012 నాడు అట్టి ధరలో 10,00,000=00 పది లక్షలు అడ్వాన్సుగా తీసుకొని యుంటిని. వివిధ కారణాల వల్ల అట్టి అగ్రీమెంట్ రద్దు అయినది. మీకు ఇవ్వవలసిన పది లక్షలు ఈ రోజు నుండి ఆరు నెలల లోపు అనగా సెప్టెంబర్ 12.09.2013 నాటి వరకు శ్రీ కొత్త మనోహర్ రెడ్డి తండ్రి కొత్త మల్లారెడ్డి నివాసము జిల్లెల గూడ గార్కి ఇవ్వటానికి పది మంది పెద్ద మనుషుల సమక్షములో సెటిల్ మెంట్ చేసుకొని ఇట్టి డబ్బు ఇవ్వటానికి ఒప్పు కున్నాము. ఇది మా ఇష్ట పూర్వకముగా వ్రాయించి ఇచ్చినది నిజం".

ఇట్లు

1. ఏ. రామ్ రెడ్డి
2. sd/-
3. జంగా రెడ్డి

(i) పెసరకాయల వీర బసంత రెడ్డి
(ii) గణేశ్ రెడ్డి
(iii) పాండురంగారెడ్డి

15.3. There are two Eenadu paper publications in Ex.A4 dated 26.04.2013, one is issued by V.Satyanarayana, Advocate on behalf of Gurram Bhasker Reddy, S.Kishtamma, P.Bikshapathamma and another paper publication is issued by B.Venkat Reddy, Advocate of Ibrahimpatnam on behalf of his client. The Publication reads as under:

(i) కొనుగోలుదారులకు హెచ్చరిక / బహిరంగ ప్రకటన

నా క్లయింట్లు శ్రీ గుర్రం భాస్కర్ రెడ్డి, S.కిష్టమ్మ, P.భిక్షపతమ్మ, అందరూ R/o.గుర్రంగూడ, బాలాపూర్ మరియు అలియాబాద్, రంగారెడ్డి జిల్లా/హైదరాబాద్ వారి సూచనల మేరకు సాధారణ ప్రజానీకానికి ఇందుమూలముగా తెలియజేయునది ఏమనగా పెసరకాయల వీర బసంతరెడ్డి అనబడే వ్యక్తి రంగారెడ్డి జిల్లా, యాచారం మండలం, మొండి గౌరెల్లి గ్రామం వద్ద సర్వే నెం.85/Aలో ఎక.9-08 గుం., సర్వే నెం.189/Aలో ఎక.0-22 గుం., మొత్తం ఎక.9-30 గుం. విస్తీర్ణం మరియు ఇతర సర్వే నెంబర్లు 10, 25, 99, 106, 109, 110, 119, 120 ల్లోని మొత్తం ఎక.37-34 గుం. విస్తీర్ణంగల

వ్యవసాయ భూముల అమ్మకం కొరకు థర్డ్ పార్టీలతో ఒక విక్రయ ఒప్పందం కుదుర్చుకొన్నారు. వాస్తవానికి సదరు భూములు ఉమ్మడి కుటుంబ ఆస్తులు/భూములై ఉన్నవి. గౌరవనీయ అదనపు జిల్లా జడ్జి, రంగారెడ్డి జిల్లా కోర్టుల యొక్క ఉత్తర్వుల ప్రకారం మరియు గౌరవనీయ ఆం.ప్ర. ఉన్నత న్యాయస్థానం ప్రకారం కూడా (పేజీ వెం.32 లోని లైన్ నెం.1 లో) సదరు వీర బసంతరెడ్డికి పైన తెలిపిన సర్వే నెంబర్లలోని భూమిలో ఎట్టి విధి హక్కులు మరియు ప్రయోజనం లేదు. కేవలం 1/4 వ వంతు అవిభాజ్య వాటాను మాత్రమే కలిగియున్నారు. సదరు పెసరకాయల వీర బసంతరెడ్డితో ఏమయిన అమ్మకం ఒప్పందం లేదా ఒప్పందాలు కుదుర్చుకున్న వారికెవరికైనా ఎట్టి హక్కు మరియు టైటిల్ లభించదు. సదరు విక్రేత వాటా దారులలో ఒకరు మాత్రమే కాని సదరు భూములను విక్రయించటానికి లేదా కొనుగోలుదారులతో ఎట్టి అమ్మకం ఒప్పందం కుదుర్చుకోవటానికి అతనికి ఎట్టి హక్కు లేదని ఇంకనూ తెలియజేస్తున్నాము. ఎవరైనా అలాంటి వ్యవహారాలు సదరు వ్యక్తితో కుదుర్చుకున్నట్లయితే అది పూర్తిగా చెల్లని వ్యవహారం అవుతుంది. ఈ హెచ్చరికి ప్రకటనను కాదని ఎవరైనా వ్యక్తి/వ్యక్తులు సదరు భూములకు సంబంధించి ఏవైన ఒప్పందాలు కుదుర్చుకొన్నట్లైతే, అది చెల్లని వ్యవహారమౌతుంది.

(V. సత్యనారాయణ), అడ్వొకేట్

(ii) బహిరంగ ప్రకటన

సమస్త ప్రజానీకానికి తెలియజేయునది ఏమనగా! రంగారెడ్డి జిల్లా, పెసరగాయల వీర వసంతారెడ్డి S/o.వెంకట్ రెడ్డి, యాచారం తహసిల్, మొండి గౌరెల్లి గ్రామ పరిధి సర్వే నెంబర్లు: 85/అ ఎ. 9-08 గుంటలు, మరియు 89/అ 0-22 గుంటలు మొత్తం విస్తీర్ణం 9-30 గుంటల భూమి హద్దులు ఉత్తరం: మేఘనాథ్ రెడ్డి, దక్షిణం: K.రాంచంద్రారెడ్డి, పడమర: M. అంజయ్య, మరియు తూర్పు: జి.చెంద్రయ్య భూమిని నా యొక్క క్లైంటు ఖరీదు చేయుటకు ఒప్పందం కుదుర్చుకొని గణనీయమైన మూల్యం చెల్లించినారు. ఇట్టి భూమిపై ఎవరికైనా ఏ విధమైన ఆక్షేపణలు ఉన్నచో ఒక వారం గడువు లోపల నా చిరునామాకు తెలుపగలరు. గడువు దాటిన పిదప ఏ విధమైన ఉత్తర ప్రత్యుత్తరములు స్వీకరించబడవు.

Sd/- B.VENKAT REDDY, B.A., LL.B.
Advocate
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Cell: 9441118458

15.4. Respondent-plaintiff has got issued reply notice under Ex.A5 on 27.04.2013 to B.Venkat Reddy, Advocate of Ibrahimpatnam Mandal, Ranga Reddy District for the Paper Publication in Eenadu Daily Newspaper, Ibrahimpatnam Edition, Ranga Reddy District on 26.04.2013 wherein he contended that he entered into Agreement of Sale on 01.10.2012 with P.Veera Basanth Reddy, as he failed to clear the title and remaining part of sale transaction, was not

completed thereby Sale Deed is not executed in his favour and Settlement Deed is executed on 12.03.2013 in his favour under Ex.A3 in which P.Veera Basanth Reddy admitted about entering into Agreement of Sale in respect of Acs.09-30 guntas in Sy.Nos.85 and 89, he undertook to repay the advance amount of Rs.10 Lakhs.

15.5. V.Satyanarayana, Advocate has issued legal notice (Ex.A6) to B.Venkat Reddy for the paper publication dated 26.04.2013 on behalf of his client by name Gurram Bhasker Reddy. It is stated in the notice that P.V.Basanth Reddy is having 1/4th share only as per the orders passed by Additional District Judge, Ranga Reddy District in AS.No.36 of 1989 and the same was confirmed by the High Court in Second Appeal Nos.111 of 1991 and 676 of 1993 *vide* judgment dated 05.09.2008.

15.6. Ex.A7 is the Letter dated 22.11.2012 addressed by appellant No.1-defendant No.1 to B.Venkat Reddy, Advocate resident of Ibrahimpatnam stating that respondent-plaintiff agreed to purchase the property and he has not come forward due to which he sustained loss.

15.7. Ex.A11 is the legal notice got issued by Sri D.Venkat Reddy, Advocate on behalf of respondent-plaintiff to appellant No.1-defendant No.1 about the execution of agreement of sale dated

01.10.2012 (Ex.A1). It is contended in the legal notice that there is a clear defect in the title of the appellant No.1-defendant No.1 and litigations are pending before the Court filed by the cousins of defendant No.1 in respect of the subject land which is suppressed by him to the respondent-plaintiff and to get no objection letter or to withdraw the suit from the concerned Court, then the respondent-plaintiff will get ready to perform his part of contract and that the appellant No.1-defendant No.1 is not only the legal heir of late Rangamma who is none other than his grand-mother and that the respondent-plaintiff is ready and willing to perform his part of contract for which appellant No.1-defendant No.1 has to fulfill and communicate all the required documents immediately within 10 days from the receipt of the notice failing which appropriate action will be taken.

15.8(i). Ex.A12 is a certified copy of the depositions of respondent-plaintiff in CC.No.320 of 2014 wherein in chief-examination he stated that on 12.03.2013 he along with his cast elders went to the house of A1 (appellant No.1 herein) to ask him to return the token amount or clear the title and hand over the possession to him in respect of the agreement schedule property, on that date A1 (appellant No.1 herein) executed document on Rs.100/- stamp paper by undertaking that he will return the token amount of Rs.10 Lakhs within a period of six months in favour of one Kotha

Manohar Reddy. As per the agreement, A1 (appellant No.1 herein) has to return the amount on or before 12.09.2013.

15.8(ii). In his cross-examination he stated that as per Ex.P4 (Ex.A3 in OS.No.1038 of 2014) A1 (appellant No.1 herein) agreed to pay the amount within six months who is the elder of the Panchayat and document is executed in presence of the elders. A2 and A3 (appellant Nos.2 and 3 herein) also agreed to pay the money to one Kotha Manohar Reddy who is the elder and they also signed on the document as witnesses.

16.1. Evidence of respondent-plaintiff is the same with that of his plaint averments. In his cross-examination he stated that Basanth Reddy (defendant No.1-appellant No.1 herein) is the brother-in-law to his brother. Kotha Manohar Reddy and G.Mohan Reddy are related to his cousin brother and he know about the civil cases in respect of the land through his relatives and mediators but he do not know whether the cases are pending against defendant No.1-appellant No.1 herein and he has not deposited any amount in the Bank before ending date of Sale Agreement. He did not file any document to show that cases are pending against defendant No.1 (appellant No.1 herein) and he do not know whether defendant No.1 has purchased the land in the year 2007 from Trust or not and he do not know whether defendant No.1 has obtained the loan

from SBI, Adibatla Branch in 2009. He has not obtained the signatures of the children of defendant No.1 on Ex.A1-Agreement of Sale dated 01.10.2012 as they were not available. Suit land belongs to defendant No.1 that is why he has not taken the signatures of defendant No.1 children in Ex.A1-Agreement. Settlement Deed dated 12.03.2013 (Ex.A3) is executed in the name of Kotha Manohar Reddy, which says that defendant No.1 will pay the advance amount to him i.e., K.Manohar Reddy. Ex.A3 original is in the criminal case filed by him and he has not filed the evidence given in CC.No.320 of 2014 before XXII Metropolitan Magistrate Court, Ibrahimpatnam. K.Manohar Reddy deposed in criminal case and he do not know the contents of Manohar Reddy's cross-examination. He gave reply to the letter dated 29.07.2013 (Ex.B7) which was sent by defendant No.1. After settlement, defendant No.1 entered into Agreement of Sale with one G.Mohan Reddy which is mentioned in his reply notice. PW.1 denied the suggestion that defendant No.1 need not pay anything to him in person in pursuance of Settlement Deed dated 12.03.2013 (Ex.A3) and the amount is liable to be paid to K.Manohar Reddy. PW.1 denied the suggestion that defendant No.1 never issued notice for cancellation of Ex.A3-Settlement Deed dated 12.03.2013.

16.2. In the cross-examination done by defendant Nos.2 and 3 counsel (appellant Nos.2 and 3 counsel) before the trial Court,

PW.1 admitted that defendant Nos.2 and 3 are not parties to Ex.A3-Settlement Deed dated 12.03.2013. Defendant Nos.2 and 3 are not the owners of Ex.A1-Agreement of Sale dated 01.10.2012 property. PW.1 denied the suggestion that defendant Nos.2 and 3 are not responsible in any manner and they are unnecessarily made as parties to the suit only to harass them.

17.1. PW.2-A.Ram Reddy deposed that negotiations have taken place between the plaintiff (respondent herein) and defendant No.1 (appellant No.1 herein) and the parties have entered into an Agreement of Sale on 01.10.2012 (Ex.A1) in his presence and the plaintiff (respondent herein) paid an amount of Rs.10 Lakhs towards part sale consideration out of Rs.63 Lakhs and the remaining sale consideration has to be paid on the date of registration as per the terms and conditions and he is the first attesting witness to the Agreement of Sale and second attesting witness is B.Venkat Reddy, resident of Adibatla Village. He came to know that plaintiff has withdrawn to purchase the property as the litigation was pending and the property covered under Ex.A1 is mortgaged to Nationalized Bank at Adibatla and the parties have compromised which took place between K.Manohar Reddy at his residence and he came to know that defendant No.1 agreed to return back the amount to K.Manohar Reddy within six months but within one month defendant No.1 issued notice cancelling the

agreement of K.Manohar Reddy stating that the document was obtained from him forcibly and they made a complaint to police authorities subsequently, plaintiff filed criminal case as well as the suit for recovery of amount.

17.2. In his cross-examination he stated that plaintiff and B.Venkat Reddy are his distant relatives and he was the mediator between the plaintiff and defendant No.1 while executing Ex.A1-Agreement of Sale dated 01.10.2012 and the period fixed is 40 days for payment of balance sale consideration and for registration. Plaintiff did not pay the balance sale consideration to the defendant No.1 within 40 days. After lapse of 40 days, plaintiff and himself approached defendant No.1 twice for reminding to refund of the advance amount. On 12.03.2013 his father Raghav Reddy, P.Janga Reddy, the plaintiff, B.Venkat Reddy and himself discussed and Ex.A3-letter of Settlement Deed was executed in his presence and the contents therein are true. PW.2 denied the suggestion that as per the Settlement Deed, defendant No.1 is due amount to K.Manohar Reddy but not to the plaintiff.

17.3. In the cross-examination done by defendant Nos.2 and 3 counsel PW.2 stated that in Exs.A1 and A3, defendant Nos.2 and 3 are not parties. He denied the suggestion that the land mentioned in the plaint is self acquired property of defendant No.1 and that

defendant Nos.2 and 3 have no right. He also denied the suggestion that he acted as a mediator in the deal to get commission from mediation, as he did not get commission from defendant No.1 he is giving false evidence in favour of the plaintiff.

18.1. Ex.B1 is the registered sale deed of appellant No.1-defendant No.1 dated 14.03.2006 executed by Sri Srivan shata Gopa Sri Narayana Yateendra of Ahobila Mutt, Hyderabad through his GPA holder P.Srinivasa Chary S/o. P.Narsimhachary. Schedule property is as under:

Village	Sy.No.	Extent	Per Acre Rate.	Total Market Value
Mondigourelly	85/అ	9-08		
	99/ఈ	5-21	Rs.16,000/-	
	106/అ	1-04		
	109/అ	1-14		Rs.3,70,000/-
	110/అ	2-06	Rs.26,000/-	
	89/అ	0-22		
	Total	Acs.19-35 gts		

18.2. Ex.B2 is the Pattedar Passbook and Ex.B3 is the original Title Deed of appellant No.1-defendant No.1.

18.3. Ex.B4 is the original letter issued by State Bank of India, Baghlingampally, Hyderabad on 23.07.2018 to the appellant No.1-defendant No.1 which states that his loan account bearing No.36986099943 of Adibatla Branch has become NPA and they are conducting Bank Adalath for resolution of the loan accounts. By

the date of Ex.B4, the total due to be paid by appellant No.1-defendant No.1 to the Bank is Rs.2,54,345.3/- and the party to appear on 31.07.2018 to settle the account.

18.4. Ex.B5 is the letter dated 23.07.2018 where under the appellant No.1-defendant No.1 has another loan account *vide* No.37203763312 of Adibatla Branch and Bank Adalath is scheduled to be held on 31.07.2018. The amount due is Rs.3,96,327.8/-.

18.5. Appellant No.1-defendant No.1 has got issued letter dated 29.07.2013 (Ex.B7) to the respondent-plaintiff cancelling the Agreement of Sale dated 01.10.2012. It is stated in the letter that he did not execute Settlement Deed on 12.03.2013 (Ex.A3) to return the advance sale consideration as mentioned in the agreement dated 01.10.2012 and that the amount is forfeited.

19. The evidence of appellant No.1-defendant No.1 is the replica of his written statement. In his cross-examination he stated that Ex.A1-Agreement of Sale was entered between him and the plaintiff (respondent herein, herein after referred to as 'plaintiff') and he obtained loan from State Bank of India, Adibatla Branch in the year 2007 or 2008 and there is no reference of incurring loan by him in Ex.A1-Agreement of Sale. He purchased the property

admeasuring Acs.09-30 guntas in Sy.No.85/A and 89/A another lands in the year 2006 or 2007 from Ahobila Mutt and he do not know that Ahobila Mutt is a Trust. Ex.A4 Publication was made in the News Paper cautioning the public not to purchase the land from him. Ex.A11-notice was issued to him and he received the same, he gave reply to that effect. Three months thereafter discussions between him and the plaintiff was held in the presence of elders namely K.Manohar Reddy and others, it was decided in the said meeting that he should return the advance amount of the Agreement of Sale (Ex.A1) to the plaintiff and the same was reduced into writing under Ex.A3. He did not return the said advance amount to the plaintiff within the agreed period of six months. Witness adds that he was not allowed by the plaintiff and others to sell the land therefore he could not return the amount to the plaintiff. After four months of Ex.A3, he issued Ex.A7-letter. Ex.A9-FIR was registered against him and his sons and they were tried in CC.No.320 of 2014 and convicted. Witness adds that they filed Appeal Nos.191 and 192 of 2017 which is pending before the V Additional Sessions Judge, Ranga Reddy District at L.B.Nagar. The contents of Ex.A7-letter are true and correct. Ex.B6-counter foils relate to his loan account and he has four loan accounts in the Bank. Ex.B6-counter foils do not show that the plaintiff has paid the amount. DW.1 denied the suggestion that he issued

notice to K.Manohar Reddy only, he also denied the suggestion that the amounts paid under Ex.B6-counter foils are not paid by the plaintiff and that the documents filed by him are fabricated one to avoid the payment to the plaintiff.

20.1. DW.2-P.Ganesh Reddy deposed that defendant No.1 (appellant No.1 herein) is the absolute owner of the property to an extent of Acs.09-30 guntas in Sy.No.85/A and 89/A of Mondigowrelly Village, Yacharam Mandal, Ranga Reddy District and his father has entered into agreement with the plaintiff (respondent herein) to sell the property. He did not enter into agreement with the plaintiff in respect of the suit property nor he has received any advance amount of Rs.10 Lakhs. Property stands in the name of defendant No.1 and it is not a Trust property. There are no litigations pending against the suit property and he is not connected with the same. The plaintiff with a malafide intention to harass him has filed a complaint before IV Metropolitan Magistrate, Ibrahimpatnam under Sections 120-B, 420 r/w 34 of IPC and he was in prison for 27 days, he was dragged into litigation though he is no way concerned with the suit property.

20.2. In his cross-examination he stated that he knows that his father has entered into transaction to sell the property and received Rs.10 Lakhs from the respondent-plaintiff. Mediation was held in

the presence of K.Manohar Reddy and other elders and he was also present in the meeting. Ex.A3-understanding deed bears his signature. He do not know whether Rs.10 Lakhs was refunded to Kotha Manohar Reddy as per Ex.A3 and he do not know whether the plaintiff do not want to purchase the said land as it was found to be a Trust property, after the suit was filed they got separated. However, there is no partition deed between them. Ex.B1 is the sale deed under which defendant No.1 has purchased the property and he do not know that litigation is pending in the Courts. He denied the suggestion that he acted as a party to Ex.A3, witness volunteers that he signed as an attestor, also denied the suggestion that his father did all the said transactions with their knowledge.

21.1. DW.3-P.Pandu Ranga Reddy, evidence is similar to that of the evidence of DW.2, he further deposed that a false complaint is lodged by the plaintiff (respondent herein) before IV Metropolitan Magistrate, Ibrahimpatnam under Sections 120-B, 420 r/w 34 of IPC and he was remanded to judicial custody, was in prison for three days, he is unnecessarily dragged into the matter.

21.2. In his cross-examination he stated that he knows the plaintiff since 2013, he also know that his father has entered into transaction and received Rs.10 Lakhs. A meeting of mediators was held in the presence of K.Manohar Reddy and other elders, he was

present at the meeting and Ex.A3-understanding deed bears his signature. He signed as an attestor on it and he do not know whether Rs.10 Lakhs was refunded to Kotha Manohar Reddy by defendant No.1 as per Ex.A3. He do not know from whom the suit schedule property is purchased by his father. After the suit is filed their family members got separated. However, there is no partition deed executed between them. He has seen the sale deed under which his father has purchased the suit property. The property purchased by his father is not the Trust property. He do not know whether the land is in under litigation when plaintiff agreed to purchase the same. He denied the suggestion that he signed on Ex.A3 as a party to it and that all the defendants are jointly and severally liable to return the amount to the plaintiff.

22. The respondent-plaintiff has got issued Ex.A11- legal notice on 10.11.2012 i.e., within 40 days of Ex.A1-Agreement of Sale dated 01.10.2012 stating that civil cases are pending before the concerned Courts in respect of the agreement schedule property and called upon appellant No.1-defenant No.1 to get no objection letter or withdrawal of suit from the concerned Court then he is ready and willing to perform his part of contract. Appellant No.1-defendant No.1 has not done so and Ex.A3-Settlement Deed came to be executed before the elders on 12.03.2013.

23. Entire case of the respondent-plaintiff is resting on Ex.A3-Settlement Deed dated 12.03.2013. Now, this Court has to see whether Ex.A3-Settlement Deed dated 12.03.2013 falls within the ambit of novation of contract under Section 62 of the Indian Contract Act.

24. It is apt to refer Section 62 of the Indian Contract Act, 1872 which reads as under:

> "62. Effect of novation, rescission and alteration of contract:-
>
> If the parties to a contract agree to substitute a new contract for it, or to rescind or alter it, the original contract, need not be performed".
>
> Illustrations
>
> (a) A owes money to B under a contract. It is agreed between A, B and C that B shall henceforth accept C as his debtor, instead of A. The old debt of A to B is at an end, and a new debt from C to B has been contracted.
>
> (b) A owes B 10,000 rupees. A enters into an arrangement with B and gives B a mortgage of his (A's) estate for 5,000 rupees in place of the debt of 10,000 rupees. This is a new contract and extinguishes the old.
>
> (c) A owes B 1,000 rupees under a contract. B owes C 1,000 rupees B orders A to credit C with 1,000 rupees in his books, but C does not assent to the arrangement. B still owes C 1,000 rupees, and no new contract has been entered into.

25. On perusal of the illustrations to Section 62 of the Indian Contract Act, 1872, this Court understands that one of the

essential requirements of novation as contemplated by the above said Section is that there should be complete substitution of a new contract in place of the old, it is in that situation that the original contract need not be performed. But if the terms of the two contracts are inconsistent and they cannot stand together, the subsequent contract cannot be said to be in substitution of the earlier. Novation of contract comprises the elements of discharge of one debt in substitution of a new debt. Substitution of a new contract for the old one is in other words is the very essence of novation and the parties concerned must consent to the same.

26. On close reading of Ex.A3-Settlement Deed dated 12.03.2013 which does not fit in the illustrations mentioned in Section 62 of the Indian Contract Act, 1872. It cannot be said that respondent-plaintiff has rescissioned his contract with appellant No.1-defendant No.1.

27. Appellant No.1-defendant No.1 has admitted about the receipt of Rs.10 Lakhs from the respondent-plaintiff and also about the mediation held between the parties on 12.03.2013.

28. K.Manohar Reddy has only acted as a mediator to the Settlement Deed dated 12.03.2013. When there is a clear admission of the appellant No.1-defendant No.1 about the amount to be paid to K.Manohar Reddy and it cannot be said that

K.Manohar Reddy is receiving the amount in his individual capacity. It is the respondent-plaintiff who has paid the amount under Ex.A1- Agreement of Sale dated 01.10.2012, since the appellant No.1-defendant No.1 has admitted about the receipt of the amount of Rs.10 Lakhs from the respondent-plaintiff, he is liable to pay the same and the observation of the learned trial Court in Para No.16 of the impugned judgment requires no interference.

29. The other point raised by the learned Senior Counsel for the appellants is that the suit is bad for nonjoinder and misjoinder of necessary parties.

30. The Supreme Court in Moreshar Yadaorao Mahajan[1] held at Para Nos.17 and 19 as under:

> 17. This Court, in the case of Mumbai International Airport Private Limited Vs. Regency Convention Centre and Hotels Private Limited, (2010) 7 SCC 417, has observed thus:
>
> > "15. A "necessary party" is a person who ought to have been joined as a party and in whose absence no effective decree could be passed at all by the court. If a "necessary party" is not impleaded, the suit itself is liable to be dismissed. A "proper party" is a party who, though not a necessary party, is a person whose presence would enable the court to completely, effectively and adequately adjudicate upon all matters in dispute in the suit, though he need not be a person in favour of or against whom the decree is to be made.

> If a person is not found to be a proper or necessary party, the court has no jurisdiction to implead him, against the wishes of the plaintiff. The fact that a person is likely to secure a right/interest in a suit property, after the suit is decided against the plaintiff, will not make such person a necessary party or a proper party to the suit for specific performance."

19. As already discussed hereinabove, the plaintiff himself has admitted in the plaint that the suit property is jointly owned by the defendant, his wife and three sons. A specific objection was also taken by the defendant in his written statement with regard to non-joinder of necessary parties. Since the suit property was jointly owned by the defendant along with his wife and three sons, an effective decree could not have been passed affecting the rights of the defendant's wife and three sons without impleading them. Even in spite of the defendant taking an objection in that regard, the plaintiff has chosen not to implead the defendant's wife and three sons as party defendants. Insofar as the reliance placed by Shri Chitnis on the judgment of this Court in the case of Kasturi Vs. Iyyamperumal, (2005) 6 SCC 733 is concerned, the question therein was as to whether a person who claims independent title and possession adversely to the title of a vendor could be a necessary party or not. In this context, this Court held thus:

> "7. From the above, it is now clear that two tests are to be satisfied for determining the question who is a necessary party. Tests are" (1) there must be a right to some relief against such party in respect of the controversies involved in the proceedings; (2) no effective decree can be passed in the absence of such party."

31. Learned counsel for the respondent-plaintiff submits that if the plaintiff has added K.Manohar Reddy as party to the proceedings though no relief is sought against him, the suit would have been bad for mis-joinder of party.

32. The twin test to be satisfied with regard to a necessary party (1) That there must be a right to some relief against such party in respect of the controversies involved in the proceedings (2) No effective decree can be passed in absence of such a party. K.Manohar Reddy has acted only as a mediator/elder to Ex.A3-Settlement Deed dated 12.03.2013. The amount is paid by the respondent-plaintiff to the appellant No.1-defendant No.1, when there is a clear admission of receipt of the amount from respondent-plaintiff by the appellant No.1- defendant No.1, adding K.Manohar Reddy to the suit is not required and it cannot be said that the suit filed by the respondent-plaintiff is bad for nonjoinder of necessary party.

33. In sofaras the liability on defendant Nos.2 and 3 is concerned, Ex.A1-Agreement of Sale dated 01.10.2012 is executed in between the respondent-plaintiff with that of appellant No.1-defendant No.1. As the Appellant No.1-defendant No.1 failed to return the amount, a settlement is arrived before the elders under Ex.A3 dated 12.03.2013.

34. On close reading of Ex.A3-Settlement Deed dated 12.03.2013 which specifically states that all the parties i.e., appellants have agreed to pay the amounts. It is apt to note here that witnesses have signed on the left side and the appellants have signed on the right side. Ex.A3 speaks for itself that the appellants have undertaken to pay the amount to K.Manohar Reddy who acted as elder between the parties. Though there is an admission from the respondent-plaintiff and PW.2 that they acted as a witness but the document speaks otherwise. This Court is of the view that the appellants-defendants have agreed to pay the amount in pursuance of the Settlement Deed dated 12.03.2013 (Ex.A3).

35. It cannot be said that appellant Nos.2 and 3-defendant Nos.2 and 3 are unnecessarily added as parties to the suit. If really the appellant Nos.2 and 3-defendant Nos.2 and 3 have acted as witnesses to Ex.A3-Settlement Deed dated 12.03.2013, they ought to have signed on the left side by giving the appropriate serial number. But Ex.A3 shows that it was signed on the right side after the signature of the appellant No.1-defendant No.1 by giving serial Nos.1 to 3. This Court is of the view that the respondent-plaintiff has rightly added appellant Nos.2 and 3-defendant Nos.2 and 3 in the suit in pursuance of Ex.A3-Settlement Deed dated 12.03.2013. Though the learned trial Court has not framed any issue about the non-joinder and mis-joinder of the parties, but has answered the

same in Para Nos.15 and 16 of the Judgment. Hence, the contention of the learned Senior Counsel that the suit is not maintainable in view of nonjoinder and misjoinder of necessary parties is negative in view of the reasons above.

36. The principle laid down by the Supreme Court in Moreshar Yadaorao[1] are distinguishable from the facts of the present case and the ratio of the above said decision would not apply to the case on hand.

37. In Madan Lal Sobti[2], the Delhi High Court held that "The consideration is the forbearance to sue itself and, thus, it cannot be said that the subsequent execution of security by the petitioner is without consideration".

38. Sections 126 and 127 of the Indian Contract Act do not help the appellant's case and the principles laid down in Madan Lal Sobti[2] are distinguishable from the facts of the present case and the ratio of the above said decision would not apply to the case on hand.

39. Bajranglal Agrawal[4] deals with rejection of plaint and the cause of action in filing the suit.

40.1. Learned Senior Counsel for the appellants submits that the learned trial Court gave an incorrect finding of facts with respect to

pendency of litigations and with regard to existence of loan over the suit schedule property.

40.2. It is the case of the respondent-plaintiff that the appellant No.1-defendant No.1 is the owner and possessor of land admeasuring Acs.09-30 guntas in Sy.No.85/A and 89/A situated at Mondigowrelly Village, Yacharam Mandal, Ranga Reddy District who has offered to sell the same for a total sale consideration of Rs.63 Lakhs and entered into Agreement of Sale under Ex.A1 on 01.10.2012 and paid an amount of Rs.10 Lakhs towards advance sale consideration, to that effect Ex.A2-receipt is executed by appellant No.1-defendant No.1. As per Clause 8 of Ex.A1, appellant No.1-defendant No.1 declared that the schedule property is not subject to earlier Agreement of Sale and there is no equitable mortgage by deposit of title deeds and as per Clause 9 of Ex.A1, the subject property is not hypothecated to Financial Institution or institution including Banks, Corporation, Society, Local Authorities. Respondent-plaintiff having coming to know about the title dispute over the suit schedule property has got issued a legal notice to the appellant No.1-defendant No.1 under Ex.A11 dated 10.11.2012 for which appellant No.1-defendant No.1 has got issued a reply on 22.11.2012. Ex.B4 is the letter got issued by the State Bank of India, Baghlingampally Branch dated 23.07.2018 wherein the appellant No.1-defendant No.1 is liable to pay an

amount of Rs.2,54,345.3 towards loan account, Ex.B5 is also the similar letter of appellant No.1-defendant No.1 dated 23.07.2018 of different loan accounts wherein he is liable to pay an amount of Rs.3,96,327.8/- and he was called upon to attend Bank Adalath.

40.3. Though Exs.B4 and B5 are issued after Ex.A1-Agreement of Sale dated 01.10.2012 there is no clarity whether the schedule property is mortgaged with the Bank. Ex.A4 is the paper publication dated 26.04.2013 which shows that some disputes are pending with regard to property covered under Sy.Nos.10, 25, 99, 106, 109, 110, 119,120 total land admeasuring Acs.37.34 guntas with that of land in Sy.No.85/A and 89/A. As stated supra, Ex.A4-paper publication consists of two advertisements with regard to the suit schedule property. Exchange of notices between the parties coupled with Ex.A4 goes to show that the respondent-plaintiff sensed that there is a litigation in respect of the property purchased by him which caused him to issue legal notice under Ex.A11 on 10.11.2012 i.e., after 14 to 15 days of execution of Ex.A1-Agreement of Sale dated 01.10.2012. Appellant No.1-defendant No.1 has admitted in his cross-examination that he has four loan accounts and Ex.B6 are the counter foils relating to the same. The document speaks for itself that the schedule property is in dispute. The submissions of the learned Senior Counsel are negative in view of the reasons stated above.

41. The contention of the learned Senior Counsel that the evidence produced by the respondent-plaintiff is hearsay and barred by Section 60 of the Indian Evidence Act with that of Section 101 and Order 6 Rule 2 of CPC is also negative in view of the facts mentioned above.

42. Another contention raised by the learned Senior Counsel for the appellants is that appellants-defendants have challenged the conviction in CC.No.320 of 2014 dated 27.01.2017 (Ex.A13) by filing an Appeal *vide* Criminal Appeal No.192 of 2017 before the learned V Additional Sessions Judge, Ranga Reddy District at L.B.Nagar and the appellate Court *vide* judgment dated 10.12.2021 was pleased to acquit the appellants-defendants for the offence under Section 420 of IPC. It is settled law that findings of the criminal Court do not bind on Civil Courts. The learned trial Court has observed in Para No.18 of the judgment that "it is well settled in law that an accused is presumed to be innocent until the guilt is proved against him and therefore in view of the aforesaid conviction, the said initial presumption of innocence of the defendants in both the said criminal cases does not exist. However, it is not true that in view of the pendency of the said criminal appeals their conviction cannot be held as to have attained finality".

43. Acquittal of the appellants-defendants in the criminal appeal No.192 of 2017 will not help their case in any manner.

44. Learned Senior Counsel for the appellants submits that the learned trial Court has granted interest from 12.02.2013 without any basis or reasoning, the liability of the payment would arise as per Ex.A3-Settlement Deed dated 12.03.2013 wherein the condition is that the amount to be paid on or before 12.09.2013. Therefore, appellant No.1-defendant No.1 has time till 12.09.2013 to pay Rs.10 Lakhs, delay in payment would arise from 12.09.2013 and interest if any should have been calculated from the above said date but not from 12.03.2013 which is the date of execution, the trial Court erred in granting interest @ 12% per annum before filing the suit and further 12% interest was granted from the date of filing the suit till the date of realization. Senior counsel placed reliance on Section 2(b) and Section 3 of the Interest Act, 1978 with that of Section 34 of CPC, 1908.

45. In Associated Swich Gear and Projects Limited[3], the High Court of Delhi observed in Para Nos.5 and 6 as under:

> "5. In view of the aforesaid discussion, while the impugned judgment of the trial court is sustained, the rate of interest is modified and reduced by granting 6% per annum simple from the date of the notice served by the respondent/plaintiff on the appellant/defendant being 20.01.1998 and thereafter till realization.

6. Therefore, this appeal is allowed to the limited extent and the suit of the respondent/plaintiff will be decreed for a sum of Rs. 3,45,000/- along with interest at 6% per annum simple from 20.01.1998 till the filing of the suit and the same rate of interest of 6% per annum simple pendente lite and future till deposit of the principal amount of Rs. 3,45,000/- in this Court".

46. Ex.A3-Settlement Deed dated 12.03.2013 does not specify any rate of interest to be paid to the respondent-plaintiff while paying the amount of Rs.10 Lakhs on or before 12.09.2013.

47. Respondent-plaintiff in the plaint has claimed interest @ 24% per annum on Rs.10 Lakhs principal plus Rs.4,60,000/- interest. The interest awarded by the learned trial Court @ 12% per annum from the date of Ex.A3 dated 12.03.2013 is exorbitant and on higher side.

48. In Associated Swich Gear and Projects Limited, the High Court of Delhi observed that granting interest should be reasonable. The rate of interest awarded by the learned trial Court is 12% per annum from 12.03.2013 till the date of filing the suit and thereafter with future interest on the principal sum so adjudged @ 12% per annum till the date of its realization is modified and the interest rate is reduced at 6% per annum from the date of Ex.A1-Agreement of Sale dated 01.10.2012 till the date of filing the suit and 6% per annum *pendente lite* till realization of

the amount. To the above said extent the judgment of the learned trial Court is modified.

49. Appeal is partly allowed. Impugned judgment passed by the learned XIV Additional District Judge, Ranga Reddy District at L.B.Nagar in OS.No.1038 of 2014 dated 24.09.2021 is sustained and the rate of interest is modified and reduced by granting 6% per annum from the date of Ex.A1-Agreement of Sale dated 01.10.2012 till the date of filing the suit and 6% per annum *pendente lite* till the realization of the amount without costs.

Interim Orders if any stands vacated. Miscellaneous application/s stands closed.

SD/- K.SRINIVASA RAO
JOINT REGISTRAR

//TRUE COPY//

SECTION OFFICER

To,

1. The XIV Additional District Judge, at Ranga Reddy District at L.B Nagar.(with records)
2. One CC to M/s. Chandrasen Law Offices, Advocate [OPUC]
3. One CC to Sri J. Ashvini Kumar, Advocate [OPUC]
4. Two CD Copies

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HIGH COURT

DATED: 06/03/2026

JUDGMENT+DECREE

AS.No.276 of 2021



PARTLY ALLOWING THE APPEAL

18/03/26

IN THE HIGH COURT FOR THE STATE OF TELANGANA AT HYDERABAD

FRIDAY, THE SIXTH DAY OF MARCH
TWO THOUSAND AND TWENTY SIX

PRESENT

THE HON'BLE JUSTICE B.R.MADHUSUDHAN RAO

APPEAL SUIT NO: 276 OF 2021

Between:

1. Mr. Pesearkayala Veera Basanth Reddy, S/o. Venkat Reddy, Age: 61 years, Occ: Agriculture
2. Mr. P.Ganesh Reddy, S/o. P.Veera Basanth Reddy, Age: 41 years, Occ: Agriculture
3. Mr. P.Pandu Ranga Reddy, S/o. P. Veera Basanth Reddy, Age: 38 years, Occ: Agriculture.

All are R/o. Mondi Gowrelly Village, Yacharam mandal, Ranga Reddy District

...Appellants/Defendants

AND

Mr. Burugu Rama Krishna Reddy, S/o. Late Dhanam Reddy, Age: 47 years, Occ: Agriculture, R/o. Ibrahimpatnam mandal, Ranga Reddy District.

...Respondent/Plaintiff

Appeal under Section 96 R/w order 41 Rule 1 of CPC against the Judgment and decree dated 24-09-2021 passed in O.S.No.1038 of 2014 on the file of the Court of the XIV Additional District Judge, at Ranga Reddy District at L.B Nagar.

This appeal coming on for hearing and upon perusing the grounds of appeal, the Judgment and Decree of the Lower Court and the material papers in the Case and upon hearing the arguments of M/s. Chandrasen Law Offices, Advocate for the Appellants and of Sri J. Ashvini Kumar, Advocate for the Respondent.

This Court doth Order and Decree as follows:

1. That the Appeal be and hereby is partly allowed;

2. That the Impugned judgment passed by the XIV Additional District Judge, Ranga Reddy District at L.B.Nagar in OS.No.1038 of 2014 dated 24-09-2021 be and hereby is sustained and the rate of interest be and hereby is modified and reduced by granting 6% per annum from the date of Ex.A1-Agreement of Sale dated 01-10-2012 till the date of filing the suit and 6% per annum pendent lite till the realization of the amount; and
3. That there shall be no order as to costs.

SD/- K.SRINIVASA RAO
JOINT REGISTRAR

//TRUE COPY//

SECTION OFFICER

To,

1.The XIV Additional District Judge, at Ranga Reddy District at L.B Nagar
2. Two CD Copies

Kam/BA

HIGH COURT

DATED: 06/03/2026

DECREE

AS.No.276 of 2021

PARTLY ALLOWING THE APPEAL

18/03/26